of the Eleventh Five Year Plan, the revised poverty lines and poverty ratios for 2004-05 as recommended by the Tendulkar Committee have been accepted by the Planning Commission. The Tendulkar Committee has specifically pointed out that the upward revision in the percentage of rural poverty in 2004-05, resulting from the application of a new rural poverty line, should not be interpreted as implying that the extent of poverty has increased over time. These estimates, as reported by the Committee, clearly show that whether we use the old method or the new, the percentage of the population below poverty line has declined by about the same magnitude.

The performance on the **Fiscal Scenario**, according to the PC, the expansionary fiscal measures taken by the Government in order to counter the effects of the global slowdown were continued in 2009-10 and this led to further increase in the key deficit indicators. The fiscal deficit of the Centre which was 2.5% in 2007-08 increased substantially to 6.0% in 2008-09 and further to 6.4% in 2009-10 but it declined to 5.1% in 2010-11 (RE) and the Budget Estimates for 2011-12 put the fiscal deficit at 4.6% of the GDP. Similarly, the revenue deficit of the Centre increased from 1.1% in 2007-08 to 4.5% in 2008-09 and further to 5.2% in 2009-10 and declined to 3.4% for 2010-11 (RE). As per 2011-12 (BE), the revenue deficit is projected at the same level of 3.4% of GDP. The increase in the deficit levels of the Centre owes to revenue foregone on account of reduction in indirect tax rates and enhanced public expenditure in order to boost demand in the economy amidst global meltdown.

The issue of **Price Stability** remained resonating for more than half of the Plan Period. To ward off the crisis of rising prices, the Government needed to announce several tax concessions at one hand, while it could not pass the burden of the costlier imported oil prices on the masses. That would have resulted in ultimately putting the exchequer in a fund-crunch mode, at the end, creating a short-supply of investible funds in the government's hand, hence, causing the 11th Plan to perform at the levels below its target.

Twelfth Plan:

The Draft Approach Paper to the Twelfth Five Year Plan (2012-17) has been approved by the Cabinet. The theme of the approach Paper to the Twelfth Five year Plan is ***"faster, sustainable and more inclusive growth".*** The